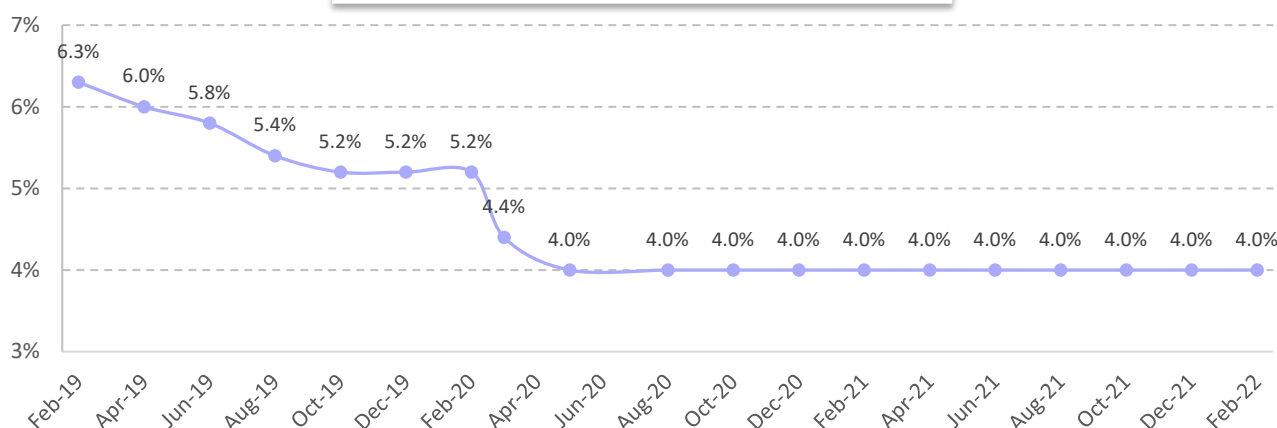


Maintains Accommodative Stance

February 10, 2022

RBI has maintained a status-quo on policy rates for the tenth time in a row and reiterated that it will maintain the accommodative stance for as long as necessary to sustain growth on a durable basis. This clearly indicates that the central bank is more focused on protecting the nascent recovery rather than on increasing rates. RBI's Monetary Policy Committee (MPC) voted unanimously to keep policy rates unchanged, while it voted 5:1 to maintain an 'accommodative' stance. Meanwhile, the central bank also emphasised about some weakening of demand in Jan-22 reflecting the drag on contact-intensive services from the fast spread of the Omicron variant in the country. Rural demand indicators – two-wheeler and tractor sales – contracted in December-January. The manufacturing PMI stayed in expansion zone in Jan-22 at 54.0, though it moderated from 55.5 in the preceding month. Among services sector indicators, railway freight traffic, e-way bills, and toll collections posted y-o-y growth in December-January; petroleum consumption registered muted growth and port traffic declined. Overall system liquidity continued to be in large surplus, although average absorption (through both the fixed and variable rate reverse repos) under the LAF declined from Rs 8.6 lakh Cr during Oct-Nov 2021 to Rs 7.6 lakh Cr in Jan-22.

RBI KEEPS REPO RATE UNCHANGED FOR TENTH TIME



Policy Tools	Policy rates	Status
Repo	4.00%	Unchanged
Reverse Repo	3.35%	Unchanged
Marginal Standing Facility (MSF)	4.25%	Unchanged
Bank Rate	4.25%	Unchanged
SLR	18.0%	Unchanged

GDP GROWTH PROJECTION AT 7.8% FOR FY23

RBI maintains real GDP growth projection at 7.8% in FY23, consisting of 17.2% in Q1, 7% in Q2, 4.3% in Q3 and 4.5% in Q4FY23. Private consumption, the mainstay of domestic demand, continues to trail its pre-pandemic level. However, government's thrust on capital expenditure and exports are expected to enhance productive capacity and strengthen aggregate demand. The pick-up in non-food bank credit, supportive monetary and liquidity conditions, sustained buoyancy in merchandise exports, improving capacity utilization and stable business outlook augur well for aggregate demand. Going forward, the outlook for the Rabi crop bodes well for agriculture and rural demand. The announcements in the Union Budget 2022-23 on boosting public infrastructure through enhanced capital expenditure are expected to augment growth and crowd in private investment through large multiplier effects. However, Global financial market volatility, elevated international commodity prices, especially crude oil, and continuing global supply-side disruptions pose downside risks to the outlook.

INFLATION PROJECTION AT 4.5% FOR FY23

RBI has maintained its FY23 CPI Inflation projection at 4.5%. CPI inflation is likely to be ~ 4.9% in Q1, ~ 5.0% in Q2, ~ 4.0% in Q3 and rising to 4.2% in Q4FY23. The central bank expects inflation to peak in the current quarter within tolerance band, moderating meaningfully in the second half of next fiscal. Timely and apposite supply side measures from the Government have substantially helped contain inflationary pressures. The improving prospects for food grains production and the expected easing of vegetable prices on fresh winter crop arrivals are adding further optimism. However, the potential pick up of input costs is a contingent risk, especially if international crude oil prices remain elevated.

Core inflation remains elevated at tolerance testing levels, although the continuing pass through of tax cuts relating to petrol and diesel last November would help to moderate input cost pressures to some extent. The transmission of input cost pressures to selling prices remains muted in view of the continuing slack in demand. Further, as risks from Omicron wane and supply chain pressures moderate, there could be some softening of core inflation.

Outlook

RBI's decision to maintain an accommodative stance was slightly surprising when all over the world central banks are talking of inflationary pressures. The low interest regime and adequate liquidity into the system are important to further strengthen the domestic market. Overall, the recovery that had been interrupted by the second wave of the pandemic is regaining traction, but it is not yet strong enough to be self-sustaining and durable. This underscores the vital importance of continued policy support. We expect the central bank to maintain accommodative policy as long as they feel inflation remains benign. This stance is positive for both debt and equity markets at least in the short run

Other Major Announcements

- **Extension of Term Liquidity Facility of ₹50,000 crore to Emergency Health Services**

- On May 5, 2021, an on-tap liquidity window of ₹50,000 crore at the repo rate with tenors of up to three years was announced to boost provision of immediate liquidity for ramping up COVID-19 related healthcare infrastructure and services in the country.
- Banks have deployed their own funds to the tune of ₹9,654 crore (up to February 4, 2022) towards COVID-19 related emergency health services.
- In view of the response to the scheme, RBI has extend this window up to June 30, 2022 from March 31, 2022 as announced earlier.

This is a welcome step by RBI as it will help hospitals, medical service providers take loans as their business is getting back to normal, helps banks also grow their books.

- **Extension of On-tap Liquidity Window for Contact-intensive sectors**

- On June 4, 2021, RBI decided to open a separate liquidity window of ₹15,000 crore at the repo rate with tenors of up to three years available till March 31, 2022 for certain contact-intensive sectors.
- Banks have deployed their own funds to the tune of ₹5,041 crore (up to February 4, 2022) to the entities under contact intensive sector.
- In view of the response to the scheme, RBI has extend this window up to June 30, 2022 from March 31, 2022 as announced earlier.

Contact intensive sectors like hospitality, travel, wellness have not fully recovered post covid and this step will help them get back on track.

- **Voluntary Retention Route (VRR)- Enhancement of Limits**

- The Voluntary Retention Route (VRR) for investment in government and corporate debt securities by Foreign Portfolio Investors (FPIs) was introduced on March 01, 2019 with a view to facilitating stable investments in debt instruments issued in the country.
- Given the positive response to the VRR as evident from the near exhaustion of the current limit, RBI has proposed to increase the investment limit under VRR by ₹1,00,000 crore to ₹2,50,000 crore with effect from April 1, 2022.

VRR is a special channel of investment in debt markets by FPI's. VRR scheme will help attract long term and stable FPI investments into debt instruments of companies.

- **Enhancement of the Cap under e-RUPI**

- The e-RUPI prepaid digital voucher, developed by the National Payments Corporation of India (NPCI) and launched in August 2021, is a person-specific and purpose specific cashless voucher and can be used by individuals, corporates or governments. e-RUPI runs on the UPI platform and has a cap of ₹10,000/- per voucher and each voucher can be used / redeemed only once.
- To facilitate digital delivery of various government schemes to the beneficiaries, RBI has proposed to increase the cap on amount for e-RUPI vouchers issued by Governments to ₹1,00,000/- per voucher and allow use of the e-RUPI voucher multiple times (until the amount of the voucher is completely redeemed)

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